



Dollar cost averaging

Dollar (or pound) cost averaging (DCA) is the practice of building up investment capital gradually over time, rather than investing an initial lump sum.

How it works

Catching the bottom of the market to get the best unit price is very difficult, and even the experts get it wrong sometimes. One way for investors to smooth out the market's highs and lows is to spread or drip-feed money into investments instead of buying in one go. This is known as dollar (or pound) cost averaging. For example, if US\$100 a month is invested into a fund,

this money will buy fewer fund units when the cost is high and more when the cost is low. The average cost per share over time is the average of highs and lows. As well as freeing investors from having to second-guess market movements, this approach encourages regular investing each month. DCA can be especially beneficial in a falling market, as more shares are bought so increasing the gains when the market rises.

Dollar cost averaging vs lump-sum investing

One key argument for regular drip-feed investing is the effect of dollar cost averaging. Dollar cost averaging allows savers to benefit from market volatility as by investing a small amount regularly, it allows them to buy units more cheaply on average.

**Investor A**
Lump sum investment

Investor A has a lump sum of US\$1,400 to invest and is trying to "time the market". At the time of the investment, each share costs US\$20 so the lump-sum investment buys 70 shares.

VS

**Investor B**
Dollar cost averaging

Investor B also has US\$1,400 but decides to feed the money into the market at US\$200 a month. This buys a varying number of shares each month.

